MBAS120	INTERNATIONAL FINANCE	L	T	P	C
Core / Elective	Elective	3	0	0	3

Course Objectives:

- To have exposure on international aspects of Financial Management
- To understand the Foreign Exchange Management
- To introduce derivatives aspect of International Finance

METHODOLOGY:

- Class room lectures for all UNITs

UNIT: 1		9 Hours
Financial Management in a Global Perspective: Globalisation. Trends in international Trade and Cross Border Financial Flows. India in the Global Economy. Challenges of International Financial Management. International Monetary System and Financial Markets: Balance of Payments. International Monetary System. An Overview of International Financial Markets. Exchange Rate Determination and Forecasting. Purchasing Power Parity. The Fishers' Effect. Interest Rate Parity.		
UNIT: 2		**9 Hours**
The Foreign Exchange Market: Structure and the Participants, Types of Transactions, Mechanics of Currency Dealing, Exchange Rate Quotations, Arbitrage, Forward Rates, Evolution of Exchange control and the foreign Exchange Market in India, Exchange Rate Computations.Currency Derivatives: Currency Futures, Currency Options.		
UNIT: 3		**9 Hours**
Foreign exchange Exposure and Risk: Economic Exposure, Transaction Exposure, Translation Exposure, Management of Exposures.		
UNIT: 4		**9 Hours**
Working Capital Management in a Multinational Context: Short-term Borrowing and Investment, Centralised Vs. Decentralised Cash Management, Cash Transmission. International Equity Investment: Risk and Return, The International CAPM, Equity Financing in the International Markets.		

Long-term Borrowing in International Capital Markets: The Major Market Segments, The International Financing Decision, International Leasing.		
UNIT: 5		**9 Hours**
International Project Appraisal: Review of NPV approach, Adjusted Present Value Framework, Project appraisal in the International Context, Exchange Rate Risk and Cost of Capital, International Joint Ventures. An Introduction to Financial Swaps: Major Types, Motivations Underlying Swaps, Application of Swaps, Valuation of Swaps. International Accounting and Taxation: Accounting for Foreign Currency Transactions, Accounting for Foreign Operations.		
	Total Lecture Hours	**45 Hours**
Text Book(s)		
1.	Cheol S.Eun, Bruce G. Resnick, INTERNATIONAL FINANCIAL MANAGEMENT, Irwin McGraw Gill, 1998.	
2.	Apte,P.G., INTERNATIONAL FINANCIAL MANAGEMENT, 2nd Ed., Tata McGraw Hill, 1998.	
3.	Ephraim Clark., INTERNATIONAL FINANCIAL MANAGEMENT, 2nd Ed., Cengage Learing India Edition, 2002.	
Reference Book(s)		
1.	Jeff Madura, INTERNATIONAL FINANCIAL MANAGEMENT, 6th Ed., South-Western, 2000.	
2.	Maurice D. Levi, INTERNATIONAL FINANCE, 3rd Ed., McGraw Hill, 1996.	
3.	Alan C. Shapiro, MULTIMATIONAL FINANCIAL MANGEMENT., Prentice Hall of India.	
4.	Madhu Vij., INTERNATIONAL FINANCIAL MANAGEMENT, 2th Ed., Excel Books, 2006.	
5.	Reid W.Click and Joshua D.Coval., THE THEORY AND PRACTICE OF INTERNATIONAL FINANCIAL MANAGEMENT., Prentice-Hall of India private limited.New Delhi-2004	
	Related Online Contents [MOOC, SWAYAM, NPTEL, Websites etc.]	
1.	www.imf.com	

2.	www.cob.ohio-state.edu/fin/faculty/werner/825/Introduction.ppt
3.	www.mhhe.com
4.	www.mhhe.com/business/finance/er2e/ppt.mhtml
5.	www.ifmanet.org/en/event.html

COURSE OUTCOMES	
On Completion of the course, the students will be able to	
CO1	Understand the fundamentals of international finance and its role in global business.
CO2	Analyze the foreign exchange market and its impact on international transactions.
CO3	Evaluate different international financial instruments and their applications.
CO4	Manage international financial risks through hedging and other strategies.
CO5	Understand the international monetary system and its implications for businesses.

Mapping of COs with POs							
POs / COs	PO1	PO2	PO3	PO4	PO5	PSO1	PSO2
CO1	3	2	2	4	2	3	2
CO2	3	3	2	4	2	3	2
CO3	3	3	2	4	2	3	2
CO4	3	3	2	4	2	3	2
CO5	3	3	2	4	2	3	2
	3	**2.8**	**2**	**4**	**2**	**3**	**2**